The Signal Through the Noise

Why Geopolitical Crises, Oil Spikes, and Market Panics are the Greatest Decoys in Wealth Creation.

A HISTORICAL DIAGNOSTIC OF GLOBAL MACRO EVENTS AND INDIAN MARKET RESILIENCE (2008 – 2024).

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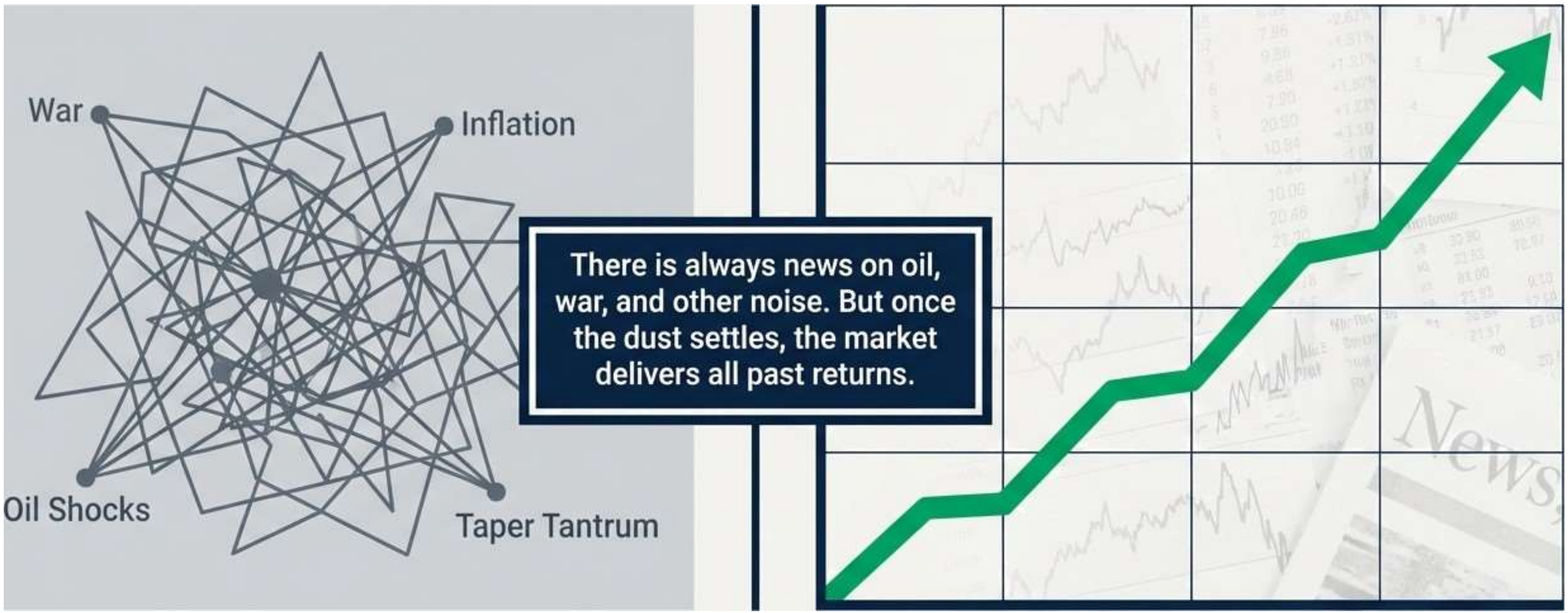
The cycle of panic is eternal; the trajectory of markets is structural.



To prove this, we will map four distinct periods of unprecedented global and domestic turmoil over the last 15 years. The objective is to demonstrate that 'this time' is rarely different.

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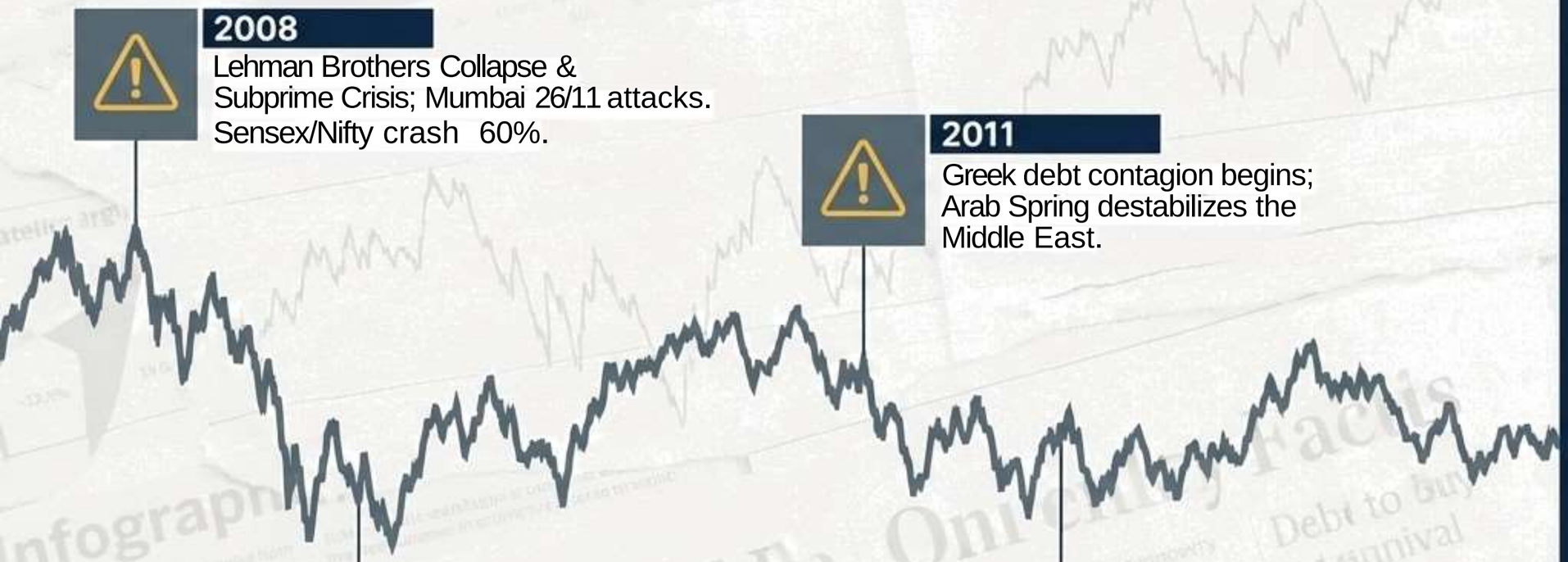
2008-2013: Surviving the Global Financial Crisis and Domestic Gridlock



2008
Lehman Brothers Collapse & Subprime Crisis; Mumbai 26/11 attacks. Sensex/Nifty crash 60%.

2009-2010
Japan Fukushima nuclear disaster; SBP downgrades US sovereign debt (AAA to AA+)

2011
Greek debt contagion begins; Arab Spring destabilizes the Middle East.

2012-2013
India's Coal scam, policy paralysis, and the US Fed taper tantrum

THE MACRO REALITY

Nifty Trough
Plunged to **2,252** (Oct 2008)

Peak Oil
Brent Crude spiked to **$108/barrel**

Peak Inflation
CPI soared to **10.1%**

Currency & Deficit
INR depreciated heavily (touching 68/USD) | CAD widened to -4% of GDP

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2011-2013: The Taper Tantrum and the Worst Deficit in Indian History

The Idocro Context (The Noise)

Eurozone sovereign debt crisis peaks (Italy, Spain spreads widen).

S&P US credit downgrade sparks a global risk-off environment.

US Fed initiates the 'Taper Tantrum' (May 2013), causing massive emerging market capital flight.

Currency Crash: INR collapses from ₹54 to ₹68 against the USD in mere months.

Record Deficit: Current Account Deficit hits -4% of GDP.

Market Drop: Nifty corrects by **-18%** to **4,651.**

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History Rhymes: The Repeating Cycle of Macro Shocks

The Macro Loop Visual Diagram

Middle East Instability → Oil Price Spikes → Imported Inflation Surges → CAD Widens & Currency Depreciates → Market Panic

The Historical Mirror Side-by-Side Panels

Then (2011–2013)

Brent hits $107, CAD widens to -4%, INR crashes to ₹68, Inflation spikes to 10.1%.

Result? The market ultimately absorbed the shock and initiated a multi-year bull run.

Brent $107 | CAD -4% | INR ₹68 | Inflation 10.1%

Now

We see similar narratives of Middle East tension, inflation fears, and oil volatility.

The fundamental mechanics are identical.

Brent $107 | Recent oil price spikes | Inflation data | Currency fluctuati

There is always news on oil, war, and other noise.
But once the dust settles, the market delivers all past returns.

Geopolitical anxiety is the premium paid for long-term equity returns. The mathematically sound strategy for the sophisticated investor is to ignore the macro noise and trust the golden thread of active wealth compounding.

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Global Financial Crisis to Policy Paralysis, High Crude, Inflation, Rupee Depreciation, CAD & Low GDP to Normalcy period (2008- 2013 -2015)

GLOBAL & GEO-POLITICAL EVENTS BY PERIOD

► 2008-2013 (2008 – 2013)

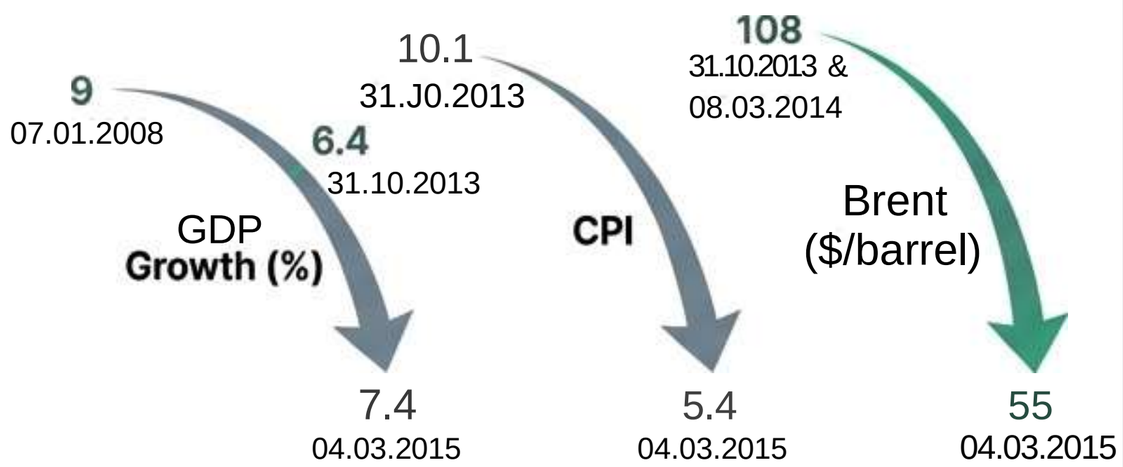
- 2008 - Global Financial Crisis (Lehman Brothers collapse, Sep 2008)
- 2008 - US subprime mortgage crisis; Sensex/Nifty crashed ~60%
- 2008 - Mumbai 26/11 terrorist attacks
- 2009 - Indian general elections; UPA-2 wins decisive majority
- 2009 - Greek debt crisis begins; EU sovereign debt contagion
- 2010 - Arab Spring begins; unrest across Middle East & North Africa
- 2010 - Dodd-Frank Act; global financial regulatory overhaul
- 2011 - Japan Fukushima nuclear disaster; global supply chain disruption
- 2011 - S&P downgrades US sovereign credit rating (AAA→AA+)
- 2011 - India: Anna Hazare anti-corruption movement; political turbulence
- 2012 - Eurozone crisis deepens; ECB 'whatever it takes' pledge (Draghi)
- 2012 - India: Coal scam, policy paralysis, INR hits historic low 57+
- 2013 - US Fed taper tantrum; EM currencies including INR crash
- 2013 - INR touches 68/USD; RBI emergency rate hikes

Date	Nifty	CPI	Gsec	Brent	USDINR	GDP Growth (%)	Current Account Deficit (% of GDP)
07.01.2008	6287	5.5	7.8	96	39	9	-1
27.10.2008	2252	11	7.5	62	48	6.7	-2.2
05.11.2010	**6338**	**9.8**	**8.1**	**86**	**45**	**8.4**	**-2.6**
16.12.2011	**4651**	**8.9**	**8.5**	**107**	**52**	**6.5**	**-4**
31.10.2013	**6299**	**10.1**	**8.8**	**108**	**62**	**6.4**	**-1.7**
31.01.2014	6089	8.8	8.75	107	63	6.9	-1.5
06.03.2014	6401	8.1	8.85	108	61	6.9	-1.4
04.03.2015	8922	5.4	7.75	55	62	7.4	-1.3

Comparison Dates		Nifty	HDFC Mid Cap Fund	HDFC Flexi Cap Fund	Nippon India Growth Mid Cap Fund	Franklin India Small Cap Fund	Franklin India Large Cap Fund	Franklin India Mid Cap Fund
07/01/2008	31/10/2013	0.03%	5.41%	4.07%	-1.02%	-0.04%	3.86%	0.41%
07/01/2008	04/03/2015	5.01%	15.39%	11.22%	7.66%	11.73%	9.11%	11.06%

The dust settles: Normalization drives aggressive wealth creation -- 2015.

The Normalization Arc



By March 2015, the terrifying metrics of 2008-2013 had reverted to the mean. GDP groMh rebounded to 7.4%, CPI dropped to 5.4%, and Brent crude halved to $55.

The Signal: Active Fund Returns

Fund	Return (Jan 2008 - Mar 2015)
Nifty Benchmark	5.01%
HDFC Mid Cap Fund	15.39%
Franklin India Small Cap Fund	11.73%
Franklin India Mid Cap Fund	11.06%
Nippon India Growth Mid Cap	7.66%

TAKEAWAY: Investors who held active equity portfolios through the worst global recession in a century effectively tripled their wealth.

Even in a concentrated currency crisis, active equities act as a wealth accelerator

Measuring returns from the absolute depths of the crisis (Dec 2011) to the recovery point (Oct 2013)—a tenure of **exactly 685 days.**

Nifty Benchmark	17.54%
Franklin India Small Cap Fund	25.12%
Franklin India Mid Cap Fund	20.53%
HDFC Flexi Cap Fund	14.46 %
HDFC Mid Cap Fund	16.77%
Franklin India Large Cap Fund	14.83%

KEY INSIGHT: The macro environment (currency, deficit) looked apocalyptic, but the micro environment (corporate earnings) ignored the noise and drove double-digit gains.

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There is always News on Oil, War & other Noise – But Once the dust settle- Market deliver all past returns

▶ 2014-2019 (2014 – 2019)

- 2014 - Narendra Modi / BJP wins historic landslide; reform optimism
- 2014 - Russia annexes Crimea; geopolitical tensions in Europe
- 2014-16 - Brent oil collapses from $115 to $27; windfall for India
- 2015 - China stock market crash; global EM selloff
- 2016 - India demonetisation (Nov 8); ₹500/₹1000 notes withdrawn
- 2016 - Brexit referendum; global risk-off sentiment
- 2016 - US Presidential election; Trump wins
- 2017 - GST implemented in India (Jul 1); largest tax reform
- 2018 - US-China trade war begins; tariff escalations
- 2018 - IL&FS crisis; NBFC liquidity crunch in India
- 2018 - RBI-Government tensions; Urjit Patel resignation
- 2019 - Modi re-elected with bigger majority
- 2019 - Article 370 abrogation (J&K); India-Pakistan tensions
- 2019 - Yes Bank crisis begins

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26.02.2016	7029	5.2	7.7	35	68	8	-1.1
07.09.2016	8917	5.1	6.95	47	67	8.2	-0.6
22.12.2016	7979	3.4	6.5	55	68	8.2	-0.7
17.01.2020	12352	7.4	6.6	64	71	4	-0.9

Comparison Dates		Nifty	HDFC Mid Cap Fund	HDFC Flexi Cap Fund	Nippon India Growth Mid Cap Fund	Franklin India Small Cap Fund	Franklin India Large Cap Fund	Franklin India Mid Cap Fund
06/03/2014	17/01/2020	11.85%	17.64%	14.17%	16.58%	17.78%	11.82%	18.73%

2014-2020: Navigating heavy domestic reforms amidst global tremors.

Domestic Track: Structural Shocks

2014: Landmark election / Reform optimism.

2016: Demonetization (Nov 8).

2017: GST Implementation (Largest tax reform).

2018: IL&FS Crisis / NBFC Liquidity Crunch.

2014: Russia annexes Crimea.

2015: China stock market crash.

2016: Brexit referendum & US Elections.

2018: US-China trade war escalates.

Global Track: Risk-On Events

Macro Environment

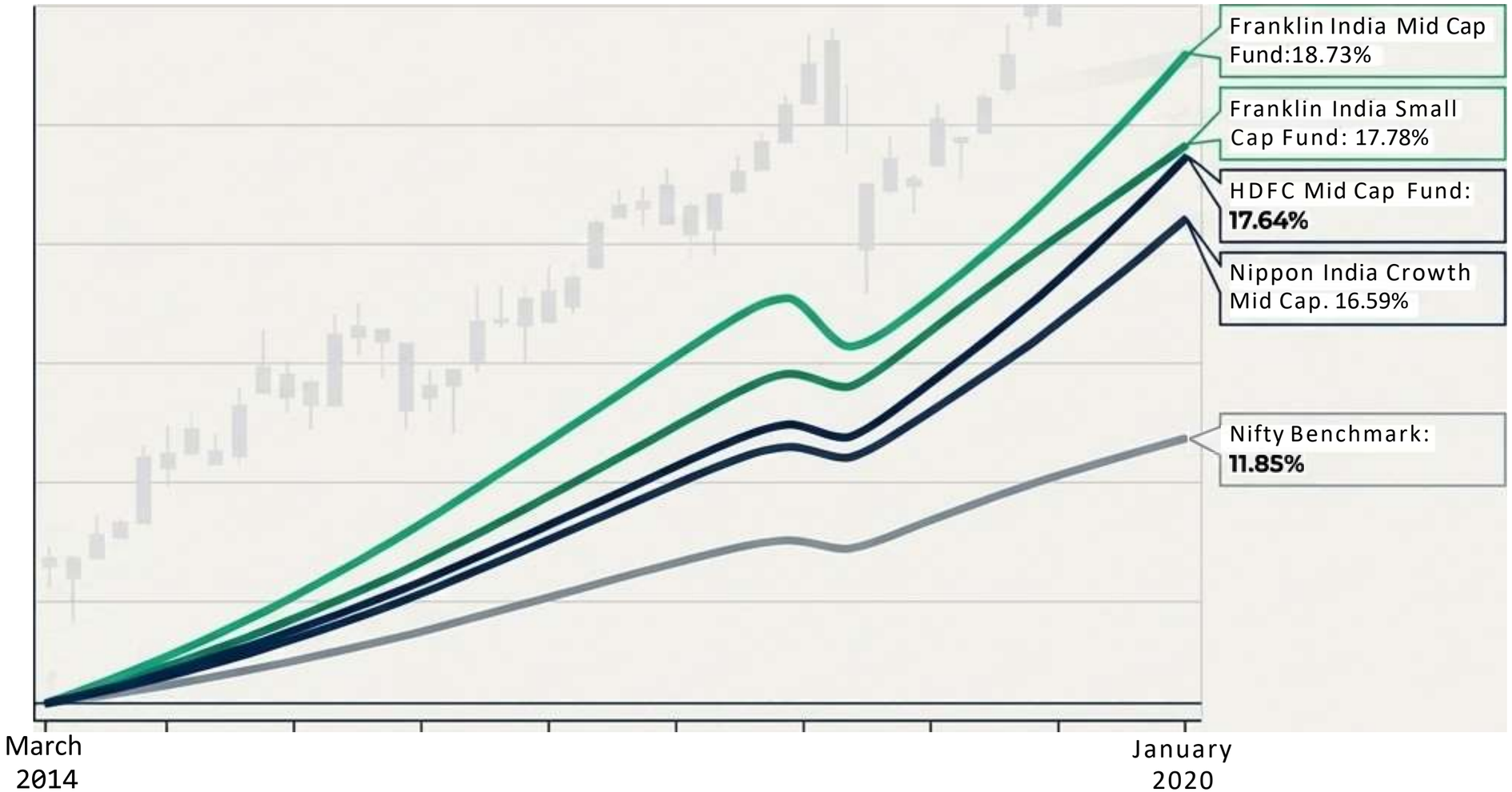
GDP growth peaked at 8.4% (2010) but ultimately slowed to 4% by early 2020.

However, Brent crude remained largely subdued, collapsing from $115 down to the $35-$64 range.

Ignoring domestic policy noise generated nearly 18% annualized returns

From2014 till Jan2020

Over this 6—year period, despite trade wars, tne withdrawal of 86% of India's currency (Demonetization), and a major shadow-banking collapse, active equity delivered immense value.



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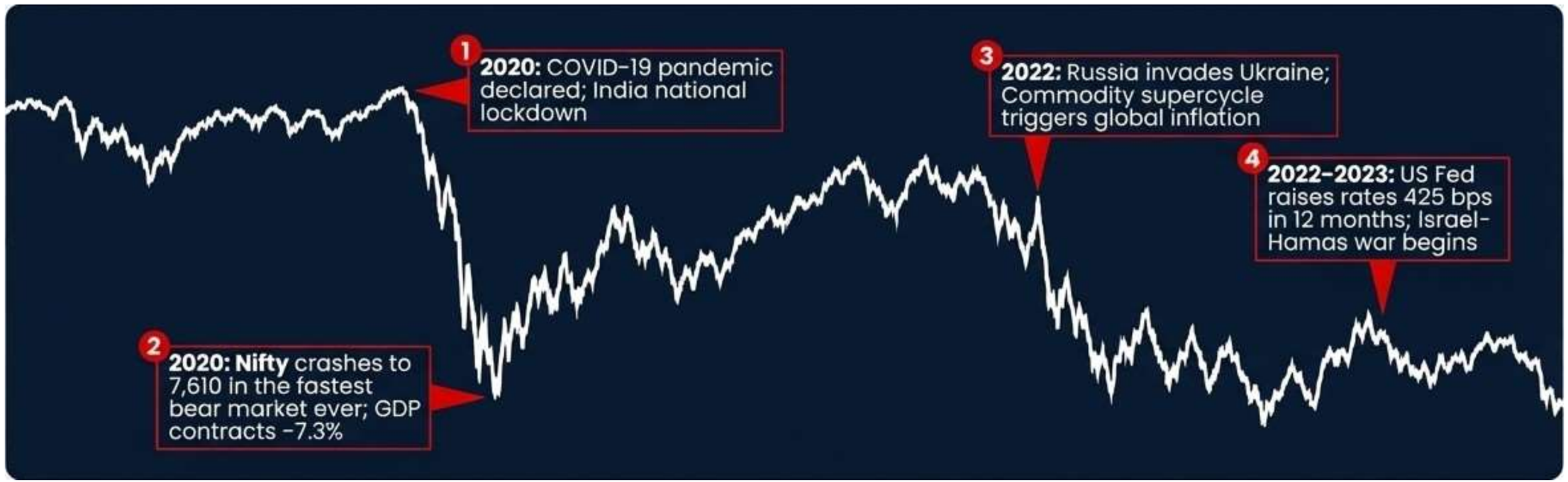
2020-2024: Pondemics, Wars, and the Return of Generational Inflation



The Macro Reality

1. The Macro Reality
Brent crude spikes to $118 (June 2022}

The Macro Reality
Unprecedented FII outflows from India

The Macro Reality
USDINR touches 83

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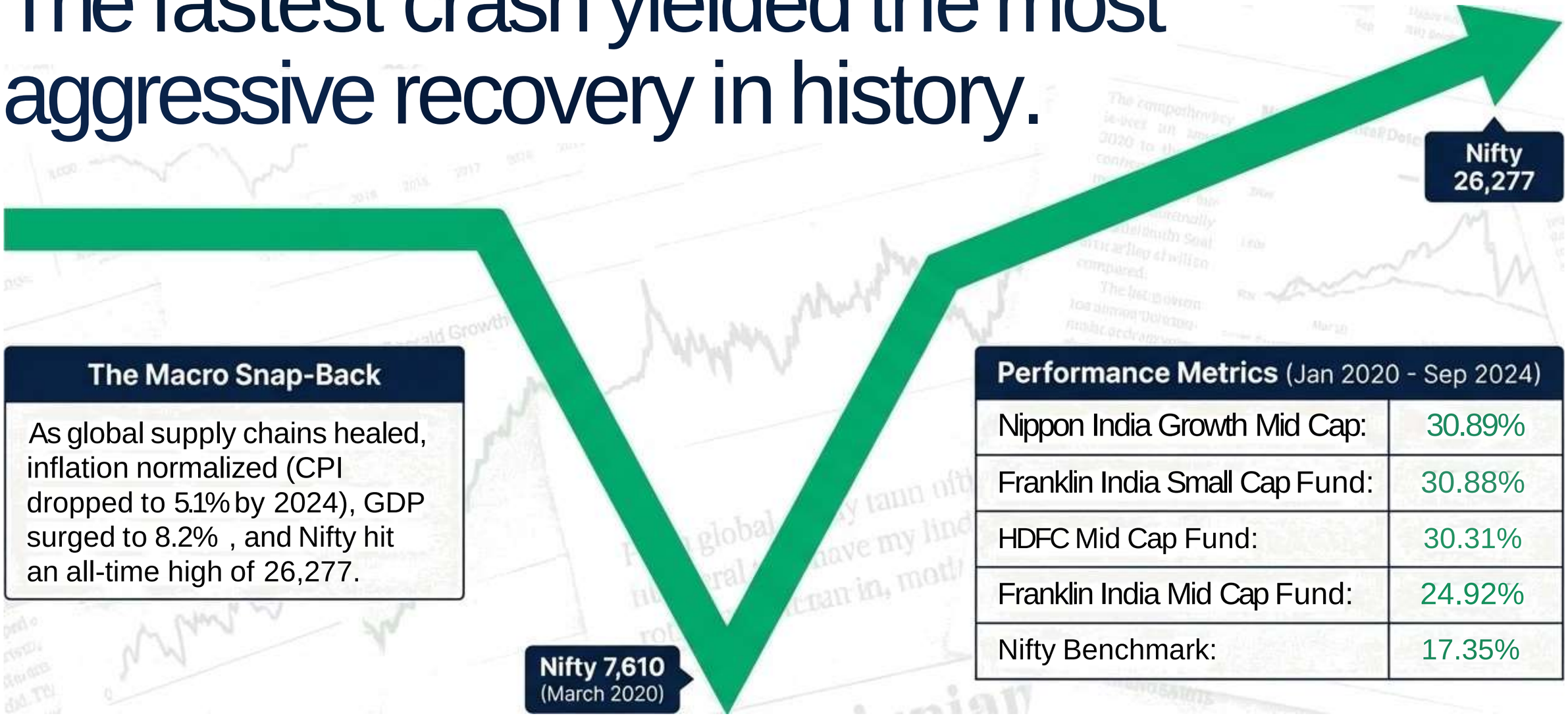
The fastest crash yielded the most aggressive recovery in history.



The Macro Snap-Back

As global supply chains healed, inflation normalized (CPI dropped to 5.1% by 2024), GDP surged to 8.2% , and Nifty hit an all-time high of 26,277.

Performance Metrics (Jan 2020 - Sep 2024)	
Nippon India Growth Mid Cap:	30.89%
Franklin India Small Cap Fund:	30.88%
HDFC Mid Cap Fund:	30.31%
Franklin India Mid Cap Fund:	24.92%
Nifty Benchmark:	17.35%

TAKEAWAY: Selling during the 2020 crash or the 2022 inflation spike meant missing out on 30% annualized growth in the mid/small-cap sector.

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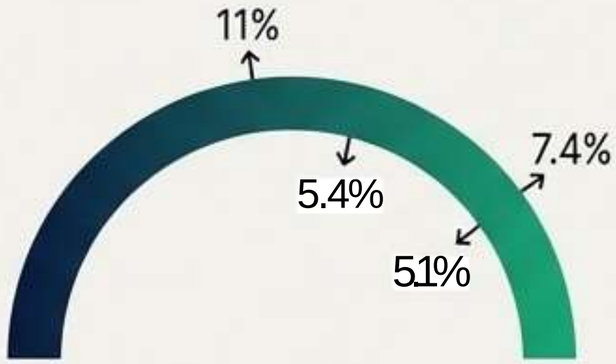
The Elasticity of Macro Economics: Indicators always revert to the mean.

Brent Crude ($/bbl)

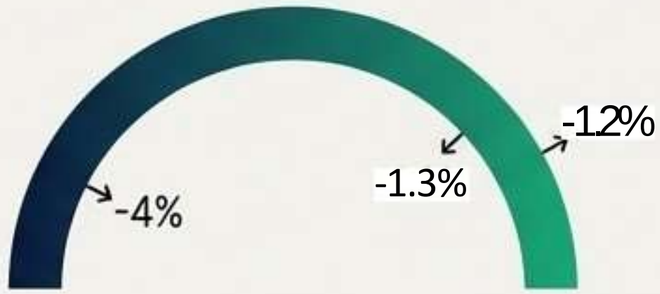
Spiked to $108 in 2013, fell to $55. Spiked to $118 in 2022, stabilized to $83. The panic is temporary.

Inflation (CPI %)



Hit 11% in 2008, normalized to 5.4%. Hit 7.4% in 2020, normalized to 5.1%.

Current Account Deficit (% of GDP)



Plunged to -4% in 2011, normalized to -1.3% by 2015.

KEY INSIGHT: Investors who base their exit strategies on peak oil or peak inflation are consistently selling at the exact moment the market is preparing to rebound.

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The Narrative Repeats. The Outcome Remains the Same.

	2008-2013 (GFC)	2011-2013 (Taper Tantrum)	2014-2020 (Reforms/Trade War)	2020-2024 (Pandemic/Wars)
The Dominant Fear	GFC	Taper Tantrum	Trade Wars / Reforms	Pandemic & Real Wars
Peak Macro Stress	Oil @$108, CPI 0 10.1%	CAD 0 -4%, INR Crash	NBFC Collapse, GDP drop	Oil @$118, Rate Hikes
Nifty Bottom	2,252	4,651	6,089	7,610
Mkts Returns	Mid/SmallCap Returns:11-15°6	Mid/SmallCap Returns:16-25%	Mid/SmallCap Returns:16-18%	Mid/SmallCap Returns: 25-30°4

Key Observation: High oil, High inflation, and geopolitical conflicts are recurring, cyclical narratives. Historically, they serve as the ultimate buying opportunities.

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Conclusion & The Long View: Fundamentals & Earnings always outlive the news cycle

Expect the Crisis

History shows that geopolitical and economic shocks are a feature, not a bug, of the global economy.

A crisis every few years is the statistical norm, not an anomaly.

Let the Dust Settle

Macroeconomic indicators like Oil, Inflation, and Deficits are elastic. They stretch severely during crises but inevitably snap back to normalcy.

Do not extrapolate the peak of a crisis into a permanent reality.

Trust the Asset Class

Over the last 15 years, active equity management has consistently bridged the gap between global panic and personal wealth creation.

Staying invested is the only proven antidote to volatility.

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Thank You

Risk Factors – Investments in Mutual Funds are subject to Market Risks. Please read all scheme related documents carefully before investing. All existing and prospective investors are advised to check and evaluate the Entry and Exit loads and other cost structure applicable at the time of making the investment before finalizing on any investment decision for Mutual Funds schemes. Mutual Fund Schemes do not assure or guarantee any returns. Past performances of any Mutual Fund Scheme may or may not be sustained in future. There is no guarantee that the investment objective of any suggested scheme shall be achieved.

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